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The Golden Fiction

What a \$42.22 accounting entry can — and cannot — do for Bitcoin

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MONETARY HISTORY

The Golden Fiction

Revaluing America's gold reserves is a fifty-year-old accounting trick waiting to be pulled. Here is what actually happens to the money supply — and to Bitcoin — the day it is.

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Monetary History Series

TL;DR

The US Treasury still carries its gold at \$42.2222 an ounce, a price fixed by statute in 1973. At current market prices the same bullion is worth over a hundred times more. Marking it up is a pure accounting entry — no gold is sold, no bonds are issued — yet it can credit the Treasury's account at the Fed with roughly a trillion dollars.

Whether that credit ever touches Bitcoin depends entirely on what happens next: spent, it is a reserve injection with real liquidity force; sterilised, it is a headline with no plumbing behind it. Either way, the act of marking gold up by seventy-fold is itself an admission of dollar debasement — and that admission is worth more to Bitcoin than the dollar figure is.

Somewhere in the Treasury's ledgers sits a number that has not moved since Richard Nixon left the gold window closed behind him. Two hundred and sixty-one million ounces of bullion, the largest sovereign gold hoard on earth, priced not at what anyone could buy or sell it for, but at \$42.2222 an ounce — a figure set by Congress in 1973 and never touched since. On the government's own books, America's gold is worth about eleven billion dollars. At the price gold actually trades for today, it is worth well over a trillion.

This is not a rounding error. It is a fossil: the last visible seam of the Bretton Woods system, preserved in amber inside an otherwise thoroughly fiat balance sheet. And in 2026, with gold near record highs and the federal deficit refusing to shrink, the question of whether to finally chip that fossil out has moved from the margins of monetary policy commentary into something closer to live debate.

What follows is not a forecast of whether revaluation happens. It is an account of the mechanism — what it would actually do to the Treasury's balance sheet, what it would *not* do, and why the answer to "what happens to Bitcoin" is less a single number than a fork in the road.

I. The Statutory Fiction

The number \$42.2222 traces to a specific act of Congress: the last of a series of dollar devaluations against gold that began with Franklin Roosevelt's 1934 revaluation from \$20.67 to \$35 an ounce, and ended with Nixon's suspension of convertibility in 1971 followed by a final statutory adjustment two years later. Since 1973, gold has floated freely in every market on earth. The Treasury's books did not float with it.

ON THE BOOKS

261,498,926 troy ounces, carried at the 1973 statutory price of \$42.2222. Book value: roughly \$11.0 billion. This is the number that appears in official Treasury and Federal Reserve reporting to this day.

IN THE MARKET

The same bullion, at a spot price hovering near \$4,600 an ounce through August 2026, is worth in the neighbourhood of \$1.2 trillion — more than a hundred times the statutory figure.

Book value vs. market value of US gold reserves

261.5 million troy ounces, August 2026

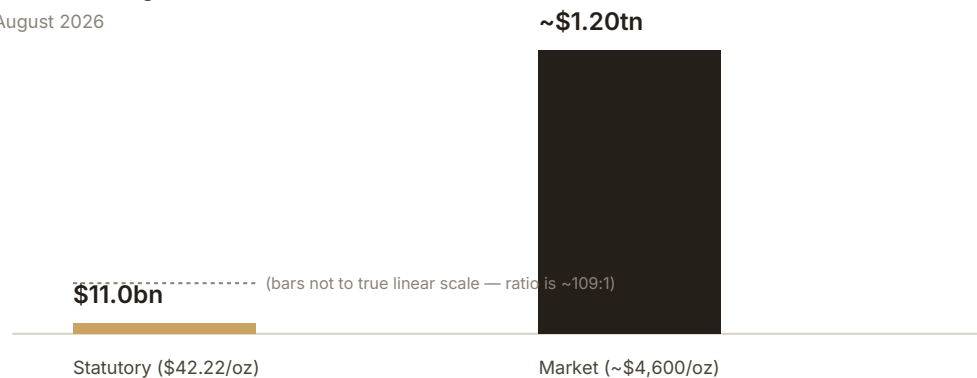


Fig. 1. The statutory price has not moved since 1973; the market price has moved by roughly two orders of magnitude.

The mechanism by which this gap could be closed is almost dull in its simplicity. Treasury maintains an account with the Federal Reserve Board called the gold certificate fund. When the official price of gold changes, Treasury adjusts the certificates it holds, and the Fed correspondingly credits Treasury's deposit account — the Treasury General Account, or TGA — by the difference. No gold changes hands. No debt is issued. It is a single journal entry, executed at the stroke of a pen, and it would put on the order of seven hundred and fifty billion to just over a trillion dollars into the TGA depending on the price used for the mark.

II. Precedent: 1934

This would not be a novel act of financial engineering. It is the same trick Roosevelt played in reverse. The Gold Reserve Act of 1934 revalued gold from \$20.67 to \$35 an ounce — a 69 percent devaluation of the dollar against gold, executed by fiat, with the resulting paper gain used to capitalise the Exchange Stabilization Fund. That fund has operated continuously ever since, an off-balance-sheet pool the Treasury can deploy without congressional appropriation.

Other sovereigns have run the same play more recently. A handful of central banks — among them Germany's, Italy's, and South Africa's — have used gold revaluation reserves to absorb losses or free up capital without touching tax revenue or issuing new bonds. The mechanism is neither exotic nor untested. What is untested, at least at this scale, is doing it against a balance sheet the size of the United States Treasury's.

III. Where the Money Goes

Here is the point at which most commentary on gold revaluation goes soft, because it treats the accounting event and the economic event as the same thing. They are not. A TGA credit is inert until it is spent. Everything that follows depends on that one branch.

The spend branch

If the new balance is drawn down — to retire short-duration Treasury bills, to fund operations without fresh issuance, or to seed a sovereign vehicle such as the kind floated alongside the 2025 executive order on a sovereign wealth fund — then TGA drains and bank reserves rise by a corresponding amount. This is, mechanically, indistinguishable from a large quantitative-easing operation, except that the Fed's balance sheet does not need to expand to produce it. It is a liquidity injection that arrives without a single new Treasury auction.

The sterilise branch

If instead the Fed or Treasury offsets the new balance — through additional bill issuance, reverse repo operations, or simply parking it and running it down slowly against ordinary spending — the reserve effect is muted or eliminated entirely. The headline still runs. The plumbing does not move. Markets that had priced in a liquidity event get a re-rating instead.

“A trillion-dollar credit is a fact about the ledger. What it does
to markets is a fact about the plumbing.”

IV. Four Channels to Bitcoin

Assuming some version of the spend branch, or even a partial one, there are four distinct channels through which a gold revaluation would reach the price of Bitcoin — and they are not of equal weight.

Channel	Mechanism	Relative force
Liquidity injection	TGA drawdown raises bank reserves; Bitcoin has the highest beta to global reserve expansion of any liquid asset.	High
The debasement admission	Marking gold up 109-fold is a tacit admission of dollar purchasing-power loss; feeds the trade already bidding gold and Bitcoin together.	High
Direct sovereign demand	If bundled with a strategic reserve funding mechanism, creates a price-insensitive buyer rather than a mere liquidity backdrop.	Conditional
Gold/Bitcoin rotation	Gold is the first-order beneficiary of its own revaluation; the BTC/gold ratio may compress before Bitcoin's relative gains show through.	Low, near-term

The direct sovereign-demand channel deserves particular attention, because it is the one place where this accounting exercise and Bitcoin policy explicitly intersect. Proposed legislation has floated replacing the Fed's existing gold certificates with new ones reflecting gold's market price specifically as a budget-neutral way to fund a strategic Bitcoin reserve — recognising existing value on the balance sheet rather than raising new debt or new taxes to acquire the asset. Separately, discussion of gold-backed Treasury instruments — the kind of fifty-year "Trust Bond," redeemable in dollars or bullion, associated with monetary economist Judy Shelton — makes a revaluation closer to mathematically necessary than optional, since backing trillions in obligations with gold priced at 1973 levels is not a credible proposition.

If revaluation arrives as a standalone accounting tidy-up, expect channel one and channel two to dominate: a moderate liquidity tailwind, wrapped in a debasement narrative that Bitcoin absorbs more readily than most assets. If it arrives bundled with a reserve-funding mechanism, channel three turns a backdrop into a bid.

V. The Counter-Case

None of this should be mistaken for an unambiguous, immediate Bitcoin catalyst, and the case against overreading it is straightforward on three counts.

First, gold is structurally the first mover. It is gold's price that determines the size of the revaluation gain, and it is gold's monetary legitimacy that the act itself reinforces most directly. Bitcoin benefits at one remove.

Second, the scale is smaller than the headline suggests once set against the federal government's actual financing needs. A one-off trillion-dollar credit funds perhaps three to four months of the deficit at current run rates. It is real money, but it is not a structural fix, and markets that treat it as one will likely be disappointed on the follow-through.

Third, sterilisation is the path of least resistance for a Federal Reserve wary of being seen to monetise fiscal largesse through a side door. The historical instinct — visible in fifty years of reluctance to touch the \$42.22 figure at all — has been to avoid exactly the kind of dollar-weakness signal that revaluation sends. That reluctance does not disappear the moment the number changes.

VI. Summary

IN SHORT

Revaluing US gold reserves to market price is a pure accounting event: no gold sold, no debt issued, and on the order of a trillion dollars credited to the Treasury's account at the Fed. It has been done before, in reverse, in 1934, and the mechanism to do it again already exists in law.

Its effect on Bitcoin is not automatic. Spent, the credit behaves like a reserve injection and Bitcoin — the highest-beta liquid asset to global reserve expansion — is a natural beneficiary. Sterilised, it is a narrative event without plumbing behind it. Either way, the act of marking a 1973 price up roughly a hundred and nine-fold is itself a public admission of the dollar's lost purchasing power, and that admission does more long-run work for Bitcoin's investment case than the dollar figure on the ledger.

The number worth watching is not the size of the revaluation. It is what the Treasury does with the credit afterward.

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This essay is a work of monetary-history commentary and does not constitute investment advice. Figures are approximate and reflect publicly reported spot prices and Treasury disclosures as of late August 2026.